

STATE OF FLORIDA
DIVISION OF ADMINISTRATIVE HEARINGS

UNISYS CORPORATION,	)	
	)	
Petitioner,	)	
	)	
vs.	)	CASE NO. 89-0003BID
	)	
DEPARTMENT OF HEALTH AND	)	
REHABILITATIVE SERVICES,	)	
	)	
Respondent,	)	
and	)	
	)	
E.D.S. FEDERAL CORPORATION	)	
	)	
Intervenor.	)	
_____	)	

RECOMMENDED ORDER

Pursuant to notice, final hearing in the above-styled case as held on January 17-20, 23-27, and 31 and February 1-2 and 4, 1989, in Tallahassee, Florida, before Robert E. Meale, Hearing Officer of the Division of Administrative Hearings.

The representatives of the parties were as follows:

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BACKGROUND

On May 20, 1988, Respondent issued Request for Proposal 88-74-BC, which requested proposals for an automated information management system to support various human-services programs administered by Respondent. On September 30, 1988, Petitioner, Intervenor, and CSX Technology submitted proposals. As required by the Request for Proposal, each offeror submitted a two-part proposal. The first part was the technical proposal, and the second part was the business proposal.

After completing the process of evaluating the technical proposals, Respondent determined that the technical proposals of Petitioner and CSX Technology were nonresponsive. At 4:30 p.m. on November 28, 1988, Respondent issued a notice of intent to award the contract to Intervenor.

Petitioner filed its Notice of Intent to Protest on December 1, 1988, prior to 4:30 pm., and its Formal Written Protest and Request for Formal Administrative Hearing on December 12, 1988.

CSX Technology, intent to award the contract to Intervenor, later dismissed its protest prior to the commencement of the final hearing.

At the hearing, Petitioner called 11 witnesses, published portions of 7 depositions, and offered into evidence 30 exhibits. Respondent called 4 witnesses, published portions of 3 depositions, and offered into evidence 13 exhibits. Intervenor called 8 witnesses, published a portion of 1 deposition, and offered into evidence 13 exhibits. The parties jointly sponsored 14 exhibits. The following exhibits were withdrawn: Unisys Exhibit 7, HRS Exhibit 9, and Joint Exhibits 4-9. The following exhibits were rejected and proffered: EDS Exhibits 1-2 and HRS Exhibit 3. All other exhibits were admitted into evidence. Unisys Exhibit 27, which consisted of charts prepared during testimony by Dr. Zahn, was misplaced.

Each party filed a proposed recommended order. Treatment accorded the proposed findings is detailed in the Appendix.

FINDINGS OF FACT

I. Background

A. FLORIDA Procurement

1. On May 20, 1988, Respondent (HRS) issued Request for Proposal 88-74-BC (RFP). The RFP solicited proposals for the Florida On-Line Recipient Integrated Data Access (FLORIDA) system.

2. The FLORIDA system will provide automated information management support to HRS in its administration of various human-services programs, including Aid to Families with Dependent Children (AFDC), food stamps, Medicaid, Project Independence, Refugee and Entrant Assistance Program, and Child Support Enforcement (CSE). An important feature of the FLORIDA system is that it will

be integrated, so that client data will be shared among the various human-services programs. This feature will streamline the eligibility and verification processes and thereby reduce administrative inefficiencies, including errors in the payment of benefits.

3. Subject to the satisfaction of certain conditions, the federal government will provide most of the funds for the FLORIDA procurement. If the system is satisfactory, the Department of Human Services (HHS) and Department of Agriculture will pay as much as 90 percent of the acquisition and training costs.

4. The federal approval process requires that HRS obtain federal approval of the RFP, a preliminary RFP-type document known as the Advance Planning Document, and a strategic plan. HRS obtained the services of an independent consultant to assist in the preparation of these documents.

5. HRS issued the RFP after making the revisions required by the federal agencies. As a result of a protest by Unisys Corporation (Unisys) of certain provisions in the RFP, HRS later extended by three months the time within which the vendor would be required to implement the system.

B. Selection of EDS Proposal

6. On September 30, 1988, Unisys, Intervenor (EDS), and CSX Technology (CSX) each submitted a proposal¹ to HRS in response to the RFP. Pursuant to the requirements of the RFP, each proposal comprised a technical proposal, in which the offeror described the system that it was proposing, and a business proposal, in which the offeror stated the cost of the system. The technical proposal and business proposal of each offeror was separately sealed.

7. HRS evaluated each technical proposal in a process that is described in greater detail in Part VI below. As set forth in the RFP, each technical proposal was divided into eight areas. Each of these areas was assigned a weighted point value, ranging from 350 points for Operations Management Approach to 1550 points for FLORIDA System Description and Capabilities. The total points for all eight areas was 6000.

8. HRS assigned evaluators to score each area of the technical proposal. The evaluators scored each area by referring to a number of questions contained in the Evaluation Manual, which is described in greater detail in Part VI below. The resulting raw scores were averaged for each question and a predetermined weight was applied to the average score. The total of the weighted scores for all of the questions in an area constituted the total weighted score for a given proposal in that area.

9. The RFP stated that "[i]n order to establish if proposals are technically responsive, the following minimum threshold scores will be utilized during the technical evaluations: 70 percent for each of the eight areas and a total of 4500 points (i.e., 75 percent) overall. RFP II-15. The thresholds applied to the weighted scores.

10. The total weighted scores for each offeror's technical proposal were as follows: EDS--5062.1; Unisys-- 4415.3; and CSX--4296.9. EDS was the only offeror whose proposal exceeded the 4500 threshold score.

11. EDS was also the only offeror whose proposal exceeded the 70 percent threshold score in each of the eight areas. The Unisys Proposal exceeded the 70

percent threshold in seven of the eight areas, missing the threshold by 4.4 of a possible 350 points in the area of Operations Management Approach. CSX missed the 70 percent threshold in four of eight areas.

12. Pursuant to the RFP, HRS evaluated the business proposal of EDS on November 22, 1988. The business proposal included a total price of \$107,658,141 and present-value price of \$88,914,316. HRS determined that the business proposal was acceptable and complied with the requirements of the RFP.

13. Pursuant to Paragraph 2.2.6 of the RFP, the Secretary of HRS deemed it necessary to take the additional administrative step of opening the Unisys business proposal. The Unisys business proposal contained a total price of \$90,792,930 and present-value price of \$74,894,776.

14. On November 28, 1988, at 4:30 p.m., HRS issued a notice of intent to award the contract to EDS.

15. Unisys filed a Notice of Intent to Protest on December 1, 1988, prior to 4:30 p.m. Unisys filed a Formal Written Protest and Request for Formal Administrative Hearing on December 12, 1988.

16. CSX also filed a notice of intent to protest and formal written protest. However, after the two cases had been consolidated, CSX dismissed its protest prior to the commencement of the final hearing.

II. Standing

17. Unisys spent over \$2 million in preparing its proposal. This sum excluded the business, legal, and other expenses incident to the subject bid protest. The amount expended by Unisys reflects its considerable effort in researching and developing programming code for use in the FLORIDA system. Among other tasks, like each of the other offerors, Unisys prepared an elaborate site visit and system demonstration at which HRS representatives used the proposed hardware and software in simulated applications.

18. Unisys participated in the FLORIDA procurement process in good faith, intending at all times to submit a proposal capable of winning the contract. The technical and business proposals submitted by Unisys were also submitted in good faith and represent a serious attempt to win the contract.

19. Unisys submitted an 18-volume technical proposal. The decision of the Secretary of HRS to open the Unisys business proposal was based upon the narrow margins by which the Unisys Proposal failed to satisfy the above-described thresholds.

20. If HRS were to solicit additional proposals in response to the RFP, Unisys likely would submit another proposal.

21. Under the circumstances, Unisys is adversely affected by the proposed agency action.

III. System(s) To Be Proposed for Transfer

A. Transfer of Systems

22. Various states and localities throughout the United States have automated information management systems supporting their AFDC, food stamp,

Medicaid, or child support programs. In funding new systems, the federal agencies encourage the transfer of existing systems as a quicker, less expensive, and less risky means of acquisition.

23. As explained in the Advance Planning Document that preceded the RFP, various types of transfers are possible. An offeror could propose the transfer of "design concepts, . . . system design, ...[or] system code." Advance Planning Document V-5. In other words, an offeror could propose to transfer as little as the design philosophy of a system or as much as the actual programming code itself.

24. However, the evolution of automated, integrated information management systems in the field of human services is at a relatively early stage, so that relatively few potential transfer candidates exist. The number of potential candidates for transfer decreases further due, among other things, to HRS' preference for distributed (as opposed to centralized) processing and demand for elaborate functionalities. The selection of a system or systems to be transferred is therefore a difficult process.

25. In Section III, which is the Summary to the Project Overview, the RFP expresses the attitude of HRS toward the transfer of systems.

A basic premise of this RFP is that a significant body of high quality human services system development activity has taken place in recent years. Florida intends to take advantage of that activity by transferring system components currently operating effectively elsewhere in order to develop the integrate, on-line FLORIDA system. Our selection of transfer candidate(s) will be based upon the donor system's ability to meet Florida's requirements and the system's certifiability under federal requirements for enhanced federal funding.

RFP III-7 and -8.

B. System Status Described by RFP

26. In Section I, which is the Introduction to the Procurement Summary, the RFP states:

HRS expects the successful bidder to identify existing, operational FAMIS [i.e., AFDC and Medicaid), Food Stamps, and CSE systems in other states or jurisdictions, and to the maximum extent possible transfer all or appropriate parts of those systems to Florida as the basis for the FLORIDA system. Systems will also be considered for transfer if they will have completed testing prior to the Systems Demonstration requirement described in Section II of this RFP [The

relevant date for the system demonstration, at least for EDS, is November 4, 1988].

RFP 1-2. (The above-quoted sentences will be referred to, respectively, as the "operational" sentence and the "completed testing" sentence.)

27. On its face, the "operational" sentence does not appear to be mandatory. HRS "expects" the offeror to "identify" operational systems and then, "to the maximum extent possible," transfer all or part of such systems. The second sentence is less predatory in nature. Systems "will also be considered" for transfer if they have completed testing. The quoted phrase suggests an exclusionary concept and even implies for the preceding "operational" sentence a similar exclusivity that is not evident on the face of this sentence. The effect of these sentences requires an examination of other sections of the RFP.

28. Section II of the RFP informs offerors that HRS will evaluate the proposals in six phases. Phase I is the evaluation of "Mandatory Technical Requirements." Phase II is the evaluation of "Technical Proposals." The remaining four phases are not relevant to the subject proceeding. RFP 11-12.

29. The purpose of the Phase I evaluation is "to determine if each technical proposal is sufficiently responsive to the RFP to permit its complete evaluation." RFP 11-13. This section of the RFP refers offerors to Sections 8.1 and 8.1.1 of the RFP, which are part of the section identified as Technical Proposal Requirements. The RFP warns that failure to comply with the instructions listed in these sections "will deem a proposal nonresponsive, except that the state reserves the right to waive minor irregularities." Id.

30. Section 8.1 of the RFP sets forth the requirements of the transmittal letter that must accompany each proposal. The letter must contain, among other things, a statement that the FLORIDA system proposed will, when implemented, "meet the specifications set forth in the RFP." The letter must also contain a statement that the offeror has read, understands, and agrees to all provisions of the RFP. RFP VIII-3 and -4. Section 8.1.1 adds additional requirements not relevant to the subject proceeding.

31. Only those proposals that have passed the mandatory technical requirements will be evaluated in Phase II. RFP 11-14. After detailing the maximum number of points available in each of the eight areas and the 70 percent/75 percent scoring threshold, Part A of Section II of the RFP lists the evaluation criteria by each of the eight areas. These criteria correspond closely but not precisely with the 199 questions, which are also divided by area, that are contained in the Evaluation Manual, which is described in greater detail in Part VI below.

32. Numerous criteria are listed under the fifth area, which is the FLORIDA System Description and Capabilities. In general, these criteria advise offerors that HRS will evaluate the extent to which the proposed system addresses the specific functional requirements set forth in Section IV of the RFP, which consists of 99 pages of detailed information.

33. The first six criteria under FLORIDA System Description and Capabilities pertain to the completeness of various functionalities described in the proposal. The next three criteria pertain to the offeror's understanding of the background and objectives of the FLORIDA project.

34. The next five criteria involve the offeror's "base system transfer approach." These criteria address the "completeness and viability of each system component," offeror's "understanding of the current status of each system component," completeness of the description of each system component, viability of the proposed approach to obtaining and installing each system component, and degree to which the offeror understands the modifications to be made to each component. Although the first two criteria promise to reward the selection of relatively well-developed systems for transfer, none of the criteria prohibits the transfer of systems due to their relative lack of development.

35. Near the end of this section, six criteria are listed for the evaluation of the three FLORIDA modules, which are the public assistance, CSE, and client registration modules. The only one of these criteria that involves the stage of development of the system to be transferred states: "the degree to which the contractor is able to use proven FAMIS, Food Stamps and CSE system components as a basis for the FLORIDA system." Like the criteria described in the preceding paragraphs, this criterion promises to reward the offeror that elects to transfer well-developed systems, but does not prohibit the transfer of any system due to its lack of development.

36. The same section of the RFP elsewhere restates the above-described criteria, requiring that each offeror identify each system component to be used in creating FLORIDA and "report the current status of that system component in the source state or other jurisdiction." The offeror must also describe the system component, including "certifiability; when implemented; [and] number of cases/clients served." RFP VIII-18.

37. The RFP also instructs each to include in its proposal an appendix consisting of a cross-reference between pages of the proposal and the RFP requirements in Sections IV, V, and VI. These sections, which are FLORIDA Functional Requirements, Technical Requirements, and Scope of Work, provide the substantive requirements of the RFP. Sections II, VII, VIII and IX, which are Procedural Rules and Evaluation Procedures, Contractual Terms and Conditions, Technical Proposal Requirements, and Business Proposal Requirements, provide the procedural framework for addressing the substantive requirements. Sections I and III, which are the Procurement Summary and Project Overview, represent summaries and overviews. As their names imply, these sections are digests or synopses of other sections and do not in themselves provide substantive or procedural requirements with respect to the proposals.

38. In the written question-and-answer process that took place prior to the submission of proposals, Unisys asked HRS in question 137 to differentiate between, on the one hand, the prohibition against a technical proposal being "incomplete [or] nonresponsive" and, on the other hand, the statement that the "[f]ailure to meet a function, characteristic, performance level or specification will result in a lower score than meeting" or exceeding such function, characteristic, performance level, or specification. The above-cited prohibition occurs at RFP 11-13, which describes the mandatory requirements that are evaluated during Phase I of the evaluation process. The latter statement occurs at RFP 11-25, which describes the evaluation of technical proposals during Phase II of the process.

39. In answering question 137, HRS states that the effect of the prohibition is that if the proposal is incomplete or nonresponsive as to any of the mandatory requirements, which are set forth at Sections 8.1 and 8.1.1 of the RFP, then the evaluation process stops at that point. The answer adds that

latter statement merely refers to the process for assigning points to technical proposals that have met the mandatory requirements.

40. Questions 79 and 135 are directed toward a portion of the RFP language identifying the evaluation criteria under the area of FLORIDA System Description and Capabilities. These questions focus upon the criterion of the offeror's understanding of the "current status of each system component." The more complete question asks: "What do you mean by the 'current status of each system component?' Do you mean whether the component is operational or not in the donor state?"

41. The answer to both questions is: "Current status means the stage of development. For example, the system may be operational statewide or in a pilot office or in the acceptance testing stage."

42. Just as is the case with respect to the RFP, nowhere in the Evaluation Manual is there a prohibition against the transfer of systems not described by the "operational" or "completed testing" sentences. Consistent with the RFP, the Evaluation Manual suggests that more points would be awarded to more developed systems.

43. The Evaluation Manual discusses transfers primarily under the area of FLORIDA System Description and Capabilities. Question 6 under this area asks "[h]ow adequately does the bidder identify each system component proposed for transfer...?" Question 7 asks "[t]o what extent does the bidder demonstrate an understanding of the current status of each system component proposed for transfer?" Question 8 asks "[h]ow adequately does the bidder's proposal describe each component to be transferred?" This question mentions as factors to be considered "certifiability[,] when previously implemented[,] current hardware [and software/database] operating environments[,] and number of cases/clients served."

44. Most of the remaining questions in this section of the Evaluation Manual involve the base system(s) proposed to be transferred. Many of the questions leave open the issue of transfer. For example, question 14 asks "[h]ow adequately does the bidder's description of the FLORIDA System indicate whether each function... will be provided by transfer and/or modification, and/or new development?"

45. The questions that assume a transfer leave open the question of the level of development of the system proposed for transfer. Questions 19, 24, and 29 ask how adequately the proposal indicates that "proven components" will be used as the bases for each of the three main modules. Each of these questions is accompanied by the same three factors to be considered: "bidder's previous involvement with component(s) to be transferred[,] certified system[, and] when implemented."

46. For the reasons set forth above, the "operational" and "completed testing" sentences do not constitute requirements that, if violated, render a proposal nonresponsive.

C. Meaning of "Operational" and "Completed Testing"

47. "Operational" means that a system is working in a real environment. A system supporting an AFDC or food stamp program is operational when it is issuing real benefits to real clients.

48. The meaning of "completed testing" requires an understanding of the various types of tests to which complex applications software are ordinarily subjected. A computer system being developed, on the one hand, or transferred and modified, on the other hand, normally goes through a series of tests to detect errors in programming. The first test is the unit test in which a single program is tested. The next test is the string test in which two or more programs are tested to determine the quality of data flow between and among programs. The next test is the system test in which the entire system is tested. This test is ordinarily conducted by the vendor. The final test is the acceptance test in which the entire system is tested and may involve user training and data conversion. This test is ordinarily conducted by the user or owner. There may be an additional test called the parallel test, pilot test, or pilot parallel test in which, during implementation of the system in a pilot office of the user or owner, the system is tested on a small scale by running real data in parallel with the user's existing manual or automated data-processing system. After a system has been implemented and is operational, it will periodically undergo maintenance testing, but such testing is irrelevant to the subject proceeding.

49. The meaning of "completed testing" is partly explained by the description of the Site Visit/Demonstration, which is described at RFP 11-24. "The demonstration must prove that the system components bid as the transferred basis of the FLORIDA system are accessible and capable of performing the functions identified by the contractor as available in the base system components." RFP 11-24. The role of the demonstration is to provide the evaluators with hands-on exposure to the proposed system architecture and application software, as well as insight into the degree to which the proposed system contains the functionalities described in the RFP. The RFP informs offerors that the findings of the evaluators resulting from the demonstrations will be used "primarily to score each proposal in the areas of F[FLORIDA] System [D]escription and Capabilities, Data Processing [C]onsiderations and Operations Management Approach." RFP 11-25.

50. Although the demonstration was critical to an offeror's scores in three areas, the RFP did not establish a minimum level of system development in order to permit a system to be demonstrated. The answers to questions 81, 136, and 350 notified offerors that they were required to demonstrate their proposed system to the best of their ability or to the extent possible.

51. The site visit and system demonstration required only that what was proposed for transfer have completed sufficient testing to be demonstrated.

52. If the "completed testing" were deemed to establish a requirement, which it does not, such requirement would, for the reasons set forth above, be satisfied by testing commensurate to that which is proposed to be transferred. If the offeror proposed to transfer a system, then system testing would be required to satisfy the "completed testing" "requirement." If the offeror proposed to transfer only a unit or a string, then unit or string testing, whichever the case may be, would be required to satisfy the "completed testing" "requirement."

53. Acceptance testing is not required for a system to have "completed testing." First, the system is complete at the conclusion of the testing of the system. Second, acceptance testing involves many user-specific criteria that are not prerequisites to an operational system. In addition to training and data-conversion activities, such user-specific criteria may include the

refinement of user demands for functionalities that are not required for operation or even federal certification. Such functionalities may even be unsuitable for the new system receiving the transfer of the system already in acceptance testing.

D. Status of Systems Proposed by EDS

54. Even if the "operational" and "completed testing" sentences imposed alternative requirements, which they do not, the systems proposed for transfer by EDS satisfy such alternative "requirements."

55. EDS selected the Ohio CRIS-E system as a transfer base for the FLORIDA modules devoted to public assistance and client registration. EDS selected the Prince George's County, Maryland SETS system as a transfer base for the CSE module. EDS Proposal VII-C-3 and -4.

56. SETS is operational. EDS Proposal VII-C-371. SETS was the product of a conceptual transfer of the New York State Child Support Management System, which was the first of only two certified CSE systems in the country and which was proposed for transfer as the CSE base system by Unisys. EDS Proposal VII-C-277.

57. CRIS-E is not operational. At the time of its selection by EDS, CRIS-E was due to have completed acceptance testing in September or October, 1988. As of November 4, 1988, which was the date of the EDS system demonstration, CRIS-E had not completed user acceptance testing.

58. The Ohio CRIS-E procurement did not distinguish clearly among system testing and acceptance testing. However, CRIS-E had completed what amounted to system testing by November 4, 1988.

59. Consequently, even if the "operational" and "completed testing" sentences were interpreted to impose alternative requirements, the systems proposed for transfer by EDS would have satisfied such "requirements."

IV. Residence of Key Personnel

A. Requirements of RFP

60. The RFP states:

The state has determined that due to the aggressive schedule and complexity of the FLORIDA project, the contractor's project staff shall be available at all times to [HRS'] Project Team. At a minimum, the contractor's key personnel shall be fully allocated to the FLORIDA Project, and resident in Tallahassee during the term of the Project. (The term resident means on-site during all HRS project team business hours.) RFP V-27.

61. The following subsection of the RFP, which is styled, "Qualifications of Key Personnel," names as key personnel the project manager, deputy project manager, technical managers, computer operations manager, field installation

manager, database administrator, telecommunications specialist, training manager, and policy specialists. RFP V-27 and -28.

62. The RFP also requires that the resumes of key personnel be included in the technical proposal. RFP V-30. The RFP details the specific additional information required to be shown on the resumes of key personnel. RFP VIII-13 and -14. This portion of the RFP identifies, by position, the same key personnel as described in the preceding paragraph, except that this section adds the conversion manager. RFP VIII-12.

B. Residence of EDS Key Personnel

63. The EDS Proposal names individuals, for whom resumes are supplied, with respect to each of the nine positions set forth in Section V of the RFP, as well as the conversion manager. As anticipated by the RFP, multiple persons are named as technical managers and policy specialists, as well as for one or two other categories, so that a total of 22 persons are named.

64. The project manager is Robert Thomason. Mr. Thomason is an employee of EDS and will be resident in Tallahassee at all material times.

65. The EDS Proposal acknowledges that EDS will be the prime contractor and, as such, assumes full responsibility for performance of the vendor's duties under the contract. EDS Proposal 111-2. However, the EDS Proposal discloses that EDS has formed a team of subcontractors to perform various assignments. This team consists of IBM for hardware, system software, and telecommunications; Touche Ross for the public assistance application system software; IV-D Systems for the CSE application system software; Florida State University for training; and MIS Software Development for conversion and system services. EDS Proposal 111-2.

66. The RFP requires only that "[t]he Project Manager" be included within key personnel. This person has "overall project responsibility for all contractor staff and activities." RFP V-27. There is no requirement that the so-called project managers for any of the subcontractors be included as key personnel under the category of project manager.

67. The EDS Proposal names Tim Wiest as the Technical Manager for the public assistance and clients registration modules. Mr. Wiest is one of four persons named as technical managers. He is currently the Development Manager in charge of the Ohio CRIS-E System and is an employee of Touche Ross.

68. Mr. Wiest is one of the key personnel. During the term of the FLORIDA project, Mr. Wiest will be in Tallahassee full-time and will be fully allocated to the project.

69. All other key personnel satisfy the above- described requirements. The EDS Proposal therefore complies with the RFP requirements concerning the residence of key personnel during the term of the FLORIDA Project.

V. Other Alleged Deviations from RFP

70. Unisys alleges that the EDS Proposal deviates from the requirements of the RFP in two respects not addressed in the Unisys proposed recommended order. These allegations are that EDS demonstrated a system other than that which it proposed for the FLORIDA Project and EDS proposed a hardware/software configuration that failed to meet the minimum requirements of the RFP.

71. The first allegation apparently arose when EDS used a more powerful central processing unit during the demonstration than that which it proposes to use for the FLORIDA System. EDS proposed a Model 3090/300E, rather than the demonstrated Model 3090/400E, which has an additional processor. The RFP requires only that the demonstrated software run on "hardware compatible with that proposed." RFP 11-24. As discussed above, the answers to Questions 81, 136, and 350 allowed the vendor to demonstrate its proposed system to the extent possible and to the best of its ability.

72. The use of a slightly more powerful central processing unit during the system demonstration did not violate any requirement of the RFP. The hardware deviation, as well as a material difference in line speed, were clearly disclosed in the EDS Proposal. EDS Proposal VII-F-10. In any event, such factors did not violate any RFP requirements concerning the system demonstration, whose primary purpose was to demonstrate the system architecture, application software, and distributed- processing capabilities of the proposed system. RFP VIII-21.

73. The second allegation arose due to a misinterpretation of data produced by certain modeling programs designed to assess system capacity and response times. There is no credible evidence that the system proposed by EDS fails to satisfy any response times in the RFP or possesses insufficient capacity to handle the projected caseloads.

VI. Evaluation Process

A. Description of Evaluation Process

74. HRS selected 16 persons to serve as evaluators. The selections were based upon the length and type of relevant experience of each evaluator. Each evaluator assigned to an area scored each of the three proposals. Several evaluators rated more than one area.

75. The number of evaluators by area is as follows: Corporate Background and Experience--three; Project Staffing-- three; Project Management and Work Plan--four; Technical Approach--four; FLORIDA System Description and Capabilities-- six; Telecommunications Network Considerations--three; Data Processing Considerations--four; and Operations Management Approach--three.

76. Each evaluator received the following portions of the Evaluation Manual: the questions for the area or areas for which the evaluator was responsible, the overview section, and the section that explains the meaning of the various scores.

77. The manual contained the following number of questions within each area: Corporate Background and Experience--24; Project Staffing--26; Project Management and Work Plan--30; Technical Approach--26; FLORIDA System Description and Capabilities--36; Data Processing Considerations--28; Telecommunications Network Considerations-- 18; and Operations Management Approach--11.

78. A number of factors for consideration were listed beneath each question. Some questions had one or two factors and some questions had five or more. These factors were identified in the Evaluation Manual as "[p]ossible considerations in determining a ... score Items for consideration are

suggestions only. Considerations are not intended to be an all- inclusive list and will not be scored independently." Evaluation Manual, Part B: Technical Proposal Evaluation Criteria.

79. The section of the Evaluation Manual that explained the meaning of various scores directed each evaluator to score each question on a scale of 0-10. A score of 0 meant "[n]o value; bidder has ignored this area, or has no capability." A score of 1-3 meant "[p]oor; bidder has presented questionable coverage for this area with inadequate supporting detail, or there is no direct evidence of capability." A score of 4-6 meant "[m]arginal; bidder has covered this are[a] with minimal detail, or there is little evidence of capability." A score of 7 meant "[a]cceptable; bidder has covered this area in sufficient detail to be responsive, or has adequate capability to perform it." A score of 8-10 meant "[s]uperior; bidder has provided innovative and detailed coverage of this area, or by references and presentation of material, demonstrated outstanding capability."

80. Each of the questions was weighted by a factor ranging from 0.5 to 7.5. The evaluators were aware that their raw scores would be weighted, but they did not know the weighting factor to be applied to any specific question. The weighting factor was applied, on a question-by-question basis, to the averaged final scores of the evaluators scoring the area containing the question.

81. The section of the Evaluation Manual that explained the meaning of the scores also informed the evaluators that, after their "independent evaluations of the proposals," the chair of the Evaluation Committee, who was Ms. Morris, would meet with the evaluators for each area. The purposes of the meeting would be: first, to insure that there have been "no misunderstandings regarding any criteria" and, second, to develop questions to ask each offeror at the oral presentation. This process came to be known as the "initial debriefing."

82. Prior to scoring the proposals, each of the evaluators read the entire RFP and the 353 questions and answers previously described. The evaluators then underwent a two-day training process at which the evaluation process and each question in the Evaluation Manual was reviewed. The training took place on September 26-27, 1988, and the evaluation process began on October 1, 1988, under tight security.

83. During the next eight weeks, the typical evaluator spent an average of eight hours a day, six and one-half days a week, reviewing and scoring the three proposals. Each evaluator was given proposals in a randomly determined order, which was different for all evaluators. The evaluators were forbidden from speaking with each other or the independent observers, who were often present. Monitors at all times supervised the evaluators while they were evaluating proposals.

84. After the scoring process started but before the initial debriefing, Ms. Morris and two other persons contacted the corporate references, which had been selected impartially, and recorded their responses to previously prepared questions, which were the same for all offerors. The resulting information was then distributed to the evaluators.

85. The initial debriefing with Ms. Morris took place on October 17, 1988. The evaluators met in groups divided by the area being evaluated. Whenever an evaluator offered a score below 7 or significantly higher than the scores of the

other evaluators, he or she was asked to provide citations to the subject proposal. The monitors supervised each session to ensure that the evaluators did not record the scores of other evaluators.

86. The next significant event was the site visit and demonstration. Six of the evaluators attended the site visits and demonstrations. They were selected from the areas most affected by the information to be learned from the site visit and demonstration.

87. The site visits and demonstrations were completed on November 4, 1988, when the last one took place. The order among offerors for site visits and demonstrations had been selected at random.

88. Following each site visit and demonstration, the evaluators discussed in a group what they had witnessed. Ms. Morris, who participated in the site visits and demonstrations and subsequent discussions, then prepared site-visit reports, which were provided to each of the evaluators. Certain observers participated in the discussions primarily to ensure that Ms. Morris accurately recorded the comments of the evaluators who had attended the site visit and demonstration.

89. Offerors made oral presentations to selected HRS representatives on November 9-10, 1988. Transcripts of the oral presentations were distributed to the evaluators on November 14, 1988.

90. The final debriefing took place on November 17, 1988. At this time, the evaluators reported their final scores, which were recorded without discussion or comment.

91. Subsequently, each evaluator prepared a summary of the strengths and weaknesses of the area or areas of each proposal that he or she rated.

92. Pursuant to the requirements of the RFP, the Selection Committee reviewed the evaluation materials prepared by the evaluators, concurred in the result, and recommended to the Secretary of HRS that he select the EDS Proposal. The Secretary reviewed the recommendation, concurred with it, and caused to be issued the notice of intent to award the contract to EDS.

B. Scoring Thresholds

93. Under the scoring process described in the RFP and Evaluation Manual, an evaluator could award a seven for each question in an area, and thereby evidence his or her evaluation that the rated area of the proposal was "acceptable" or "responsive," but the overall net effect of the sevens would not be acceptable or responsive. If the proposal received all sevens, or all "acceptable" or "responsive" scores, it would not be responsive because it would fail to meet the 75 percent threshold.

94. There was no direct evidence of confusion among the evaluators due to the interplay between the 75 percent threshold and the meaning of a score of seven. The dual thresholds reflected the justifiable desire of HRS to ensure that, for a proposal to be deemed responsive, it would have to be better than merely satisfactory in each area.

95. Even if evaluators ignored the 75 percent threshold and assumed that a score of seven would, if repeated, lead to an acceptable or responsive total score, there is no reason why HRS cannot require in the RFP a threshold

reflecting total scores in excess of all sevens. Labelling a seven as "acceptable" does not obligate HRS to treat as responsive a proposal with a total score of all sevens. This is not the same situation as labelling a seven as "outstanding." The alternate description of a seven as "responsive" represents a poor choice of words, but there is no evidence to suggest that the evaluators would have interpreted "responsive" in its technical sense. Rather, the evaluators, who were selected for their substantive expertise and not their knowledge of procurement procedures, understood "responsive" in the nontechnical sense of the word, meaning that the proposal has addressed rather than evaded the points described in the question.

C. Factors Suggested for Consideration

96. The factors offered for consideration under each question in the Evaluation Manual were not exhaustive. The evaluators understood that the factors were intended to suggest points that the evaluators might consider, but were not intended to serve as requirements for consideration or as comprehensive statements of all factors to be considered.

97. HRS and its consultants designed the scoring process to reinforce the independence of the evaluators. Although the initial debriefing had the effect of channeling this independence to some degree, in various other ways the independence of the evaluators was emphasized. For example, the evaluators generally worked in isolation from each other as they rated the areas for which they were responsible. Also, the questions in the Evaluation Manual were phrased so that, in all but two or three cases, the evaluator could not answer the question with a simple yes or no. The above-described use of factors for consideration was consistent with the HRS philosophy of encouraging independence.

98. Unisys suffered no significant disadvantage due to the use of the above-described considerations. Unisys asserts that there were a number of instances in which the same evaluator downgraded Unisys in more than one area for the same perceived deficiency. In one example cited by Unisys, questions 10 in Technical Approach and 16 in Data Processing Considerations both required the evaluator to consider capacity planning. In scoring questions 3, 8, and 33 in the area of FLORIDA System Description and Capabilities, one evaluator, Lou Gettis, also cited capacity planning as a factor in downgrading Unisys' score.

99. The RFP contemplated some overlap between areas. With respect to the preceding example, the RFP informed offerors that capacity planning would be an evaluation criterion in the areas of Technical Approach and Data Processing Considerations. RFP 11-18 and -23.

100. Question 3 under FLORIDA System Description and Capabilities asks how adequately the bidder demonstrates an understanding of the goals and objectives of the FLORIDA project. In giving Unisys an 8, Ms. Gettis faults the proposal by noting, in the following order: the statement of goals are generic rather than specific; too many decisions are delayed and there is doubt whether certain modifications can be made prior to implementation; and capacity planning has been inadequately addressed. Given the fact that an 8 was a relatively high score for Ms. Gettis to award Unisys in this area, it does not appear that the overlapping consideration of capacity planning, though hardly relevant to question 3, had a significant effect in her scoring.

101. Question 8 asks how adequately the proposal describes each component to be transferred. One of the factors offered for consideration is the number

of cases/clients served. In awarding Unisys an eight, Ms. Gettis' notes are less detailed, although she incorporates her comments from the preceding two questions. As to capacity planning, Ms. Gettis notes that "improper conclusions have been drawn on the capacity structure-- based on NY operational statistics." This is responsive to the above-described factor for consideration, which itself is properly included under the question.

102. Question 33 asks how completely the proposal describes the architecture of the FLORIDA System. In giving Unisys a seven, Ms. Gettis objected to, in order: insufficient distribution of processing; excessive requirement for coding to achieve functionalities specified by the RFP; weak office automation and networking; insufficient memory at workstations and monochromatic monitors rather than color monitors; absence of automated index to on-line screens in on-line policy manual; and insufficient justification for performance and capacity. Even if capacity considerations are not properly included within an evaluation of the system architecture, Ms. Gettis provided sufficient reasons for her score without regard to the deficiencies regarding the capacity of the proposed system.

103. In her Summary Report for the Unisys Proposal in the area of FLORIDA System Description and Capabilities, Ms. Gettis gave three pages of explanation for her 36 scores in this area. At the end, she mentioned "capacity issues", which, judging from the entire report and the notes to her scores, played only a small role in her evaluation of the Unisys Proposal in this area.

104. Unisys cites a second example of overlapping factors that contributed to a decreased score for its proposal. Ms. Gettis scored the Unisys Proposal with a 6 under question 4 in the area of FLORIDA System Description and Capabilities. In so doing, she noted parenthetically that the host and distributed hardware would not be available until early 1989. This observation was properly responsive to the question asking how extensive is the bidder's assessment of possible problem areas in system development and operation.

105. Question 4 under the area of Data Processing Considerations asks the evaluator to address whether the proposal demonstrates that adequate arrangements have been made for the procurement of equipment. The overlap between question 4 in the area of FLORIDA System Description and Capabilities and question 4 in the area of Data Processing Considerations is due to the questions themselves. The overlap is not due to the latitude accorded evaluators by the use of factors for consideration.

106. The extent of overlapping factors in the subject procurement is not indicative of a flaw in the evaluation process, especially in view of the magnitude and complexity of the FLORIDA System, RFP, and evaluation process.

D. Initial Debriefing

107. The purpose of the initial debriefing was to allow the evaluators within a given area to influence each other by sharing their scores and, more importantly, the bases for their scores. The effect of the initial debriefing was to limit the independence of the evaluators with respect to unusually low scores or scores that deviated significantly from the other evaluators. Such purpose and effect were appropriate and, in fact, strengthened the evaluation process.

108. The inability of evaluators to record the scores of other evaluators during the initial debriefing diminishes the potential for improper influence

during this portion of the evaluation process. If one evaluator were scoring inconsistently, either inadvertently or intentionally, his or her influence upon the scores of the other evaluators would be improper. In this regard, Unisys cites with concern the influence of one evaluator in particular, Ms. Gettis.

109. Ms. Gettis evaluated three areas: Project Staffing, Technical Approach, and FLORIDA System Description and Capabilities. A comparison of the initial and final scores of Ms. Gettis and her fellow evaluators in these three areas, suggests that the initial debriefing eliminated irregularities in the scores of Ms. Gettis rather than introduced irregularities into the scores of the other evaluators.

110. In the area of Project Staffing, each of the 3 evaluators scored 26 questions as to each proposal. The total raw scores of the 3 evaluators increased by 52 points for Unisys between the initial debriefing and the final debriefing. The total raw scores increased by 58 points for EDS between the same 2 points.

111. As to the scoring of the Unisys Proposal in the area of Project Staffing, apparently Ms. Gettis, not the two other evaluators, was most influenced by the initial debriefing and subsequent developments. Her average score increased from 6.4, which was the lowest in the initial debriefing, to 7.5, which was the highest in the final debriefing. The amount of increase was also the greatest among the three evaluators.

112. As to the scoring of the EDS Proposal in the area of Project Staffing, Ms. Gettis' score led the others' scores both times. Although the amount of increase between her initial and final scores was the greatest, it was so by an insignificant amount (0.1 points more than 1 evaluator and 0.4 points more than the other evaluator).

113. In the area of Technical Approach, each of the 4 evaluators scored 26 questions as to each proposal. The total raw scores of the 4 evaluators increased by 47 points for Unisys between the initial and final debriefings. The total raw scores increased by only 34 points for EDS between the same two points.

114. As to the scoring of the Unisys Proposal in the area of Technical Approach, again the three other evaluators appear to have led Ms. Gettis, rather than the other way around. At the initial debriefing, her average score of 5.3 points was 1.9 points below the next nearest average score. By the final debriefing, her average score of 7.2 points was near the average of the 4 evaluators and represented the greatest increase among them.

115. As to the scoring of the EDS Proposal in the area of Technical Approach, Ms. Gettis' initial scoring of all 10's exceeded the next nearest score by an average of 2 points per question. By the final debriefing, Ms. Gettis' average score came down by 0.5 points and, with one exception, the average scores of the other evaluators came up by about the same amount.

116. In the area of FLORIDA System Description and Capabilities, each of the 6 evaluators scored 36 questions as to each proposal. The total raw scores increased by 45 points for the Unisys Proposal between the initial and final debriefings. The total raw scores increased by 207 points for the EDS Proposal between the same two points.

117. As to the scoring of the Unisys Proposal in the area of FLORIDA System Description and Capabilities, Ms. Gettis' initial average score was about 0.2 points below the average scores of all 6 evaluators. Her score therefore did not stand out initially. Nor did her average final score stand out. It was about 0.1 points below the average scores of all 6 evaluators.

118. As to the scoring of the EDS Proposal in the area of FLORIDA System Description and Capabilities, Ms. Gettis' initial average score was no more remarkable. It was 0.2 points higher than the average scores of all 6 evaluators. Her average final score was more noteworthy, exceeding the average scores of all 6 evaluators by 0.85 points.

119. The evidence does not suggest that the initial debriefing served as an opportunity for improper influence. It is conceivable that her extreme initial scores in the area of Technical Approach--low for Unisys and high for EDS--influenced the other evaluators, but there is no basis for a finding to that effect. First, the influence of Ms. Gettis was not systematic. In the area of Project Staffing, it appears that she, not her fellow evaluators, was influenced by the initial debriefing. Second, it is impossible to infer improper influence without direct evidence of such influence given the above-described facts, which fail to establish a scoring pattern reflective of improper influence.

120. On balance, the initial debriefing was a useful component of the evaluation process. It is true that the total raw score of EDS increased by 401 points and the total raw score of Unisys increased by only 192 points between the initial and final debriefings. This disparity is due not to improper influence at the initial debriefing, but the proper refinement of scores as the evaluation process proceeded after the initial debriefing took place.

E. Scoring Inconsistencies

121. There are instances of inconsistent scoring of the EDS and Unisys proposals. These scoring inconsistencies involve specific evaluators on some occasions and specific questions on other occasions.

122. Certain irregularities exist with respect to the scoring of Ms. Gettis. These irregularities are noted in the Part D above and generally involve her initial scoring in the area of Technical Approach. In her initial scoring of this area, Ms. Gettis awarded EDS all 10's while none of the other 3 evaluators awarded EDS a single 10, and she awarded Unisys an average score of 5.3, which was 1.9 points lower than the next closest average score.

123. These irregularities are diminished by several factors. First, Ms. Gettis' final scores in this area were not as extreme as her initial scores when measured against the final scores of the other evaluators. Although her average score for EDS in the area of Technical Approach was the highest, the gap between her score and the next highest had decreased from 2 points to 0.9 points. The difference was greater in the case of the Unisys Proposal where her average final score was about average among the 4 evaluators.

124. Second, Ms. Gettis' other final scores-do not suggest a pattern of favoritism toward EDS. In the area of Project Staffing, her average final score for EDS was the highest, but only by 0.9 points. However, her average final score for Unisys in the same area was also the highest by 0.4 points. Although her average final score for EDS in the area of FLORIDA System Description and Capabilities was tied for the highest and exceeded the next closest by 0.5

points, her average final score for Unisys in the same area was only 0.1 points less than the average for the 6 evaluators.

125. Certain irregularities exist with respect to a portion of Tom Johnson's scores. Mr. Johnson scored three areas, Operations Management Approach, Data Processing Considerations, and Telecommunications Network.

126. Mr. Johnson scored the EDS Proposal in the area of Operations Management Approach with 10's on each of the 11 questions. On no occasion did either of the other evaluators score any question with a 10. Mr. Johnson's average final score of 10 was 2.1 and 2.6 points higher than the scores of the 2 other evaluators.

127. Mr. Johnson's average final score for EDS in the area of Data Processing Considerations was 9.7 and exceeded the average final scores of the other 3 evaluators by 1, 1.6, and 2 points. He awarded a score of 10 on 22 out of the 28 questions, while his fellow evaluators awarded a 10 only 4 times.

128. Mr. Johnson's average final score for EDS in the area of Telecommunications Network Considerations was the highest, but only by 0.3 points. In this area, EDS received a 10 a total of 17 times, with Mr. Johnson accounting for 10 of these perfect scores.

129. The irregularity of Mr. Johnson's scoring is lessened by his scoring for Unisys. In the area of Data Processing Considerations, his average final score was the highest by 0.3 points. His final score for Unisys in the area of Telecommunications Network Considerations was about average for the three evaluators. His average final score in the area of Operations Management Approach was, although the lowest, only about 0.15 points below the average for the 3 evaluators.

130. The only irregularity appearing in the scoring of Bill Kuecks was that, except in the area of Data Processing Considerations, he was consistently the high scorer for EDS, although not by significant margins. On the other hand, he was the second high scorer for Unisys in the areas of Project Management Work Plan and Data Processing Considerations and was the highest scorer for Unisys in the area of FLORIDA System Description and Capabilities.

131. Other irregularities exist regarding the scoring of certain questions in the area of the FLORIDA System Description and Capabilities.

132. Question 8 in the area of FLORIDA System Description and Capabilities asks how well each proposal describes each component to be transferred. Among the factors suggested for consideration are certifiability, when previously implemented, number of cases/clients served, and distributed or centralized system architecture.

133. The total raw scores awarded the Unisys Proposal on question 8 was 43 points. The total raw scores awarded the EDS Proposal on the same question was 51 points. The EDS Proposal earned an average of 1.3 points more per evaluator than the Unisys Proposal on this question.

134. The largest portion of the EDS system is derived from the Ohio CRIS-E System, which has never been implemented, does not serve any clients or cases, and features centralized architecture rather than the distributed architecture

sought by HRS for the FLORIDA System. The CSE system that EDS proposes to transfer has been implemented, but is not certifiable because it has not been implemented statewide.

135. The largest portions of the Unisys system are derived from the New York State WMS public assistance system and New York City CSE system. Both have been implemented and certified, although the WMS System has been certified only by the Department of Agriculture because New York State has not requested certification from HHS. Both systems feature distributed architecture. Relatively small portions of the system proposed by Unisys are derived from systems at an earlier stage of development, but the transfer of these systems is limited to design concepts or design itself rather than actual programming code.

136. Of the 6 evaluators rating question 8, 5 scored the EDS Proposal higher than the Unisys Proposal. Mr. Kuecks scored the Unisys Proposal with a 7 and the EDS Proposal with a 9. He commented upon each of the considerations favorably for Unisys (except for a single notation that the Unisys transfer system required overnight batching) and offered no explanation for the score of merely acceptable. As to EDS, Mr. Kuecks again responded to each of the considerations, but in several cases incorrectly. He stated incorrectly that CRIS-E had been implemented, served a number of cases or clients, and utilized distributed system architecture. In sum, Mr. Kuecks offered no rational explanation for the variance between his scores for Unisys and EDS on question 8; his scores were simply incorrect.

137. Inexplicably, Ms. Gettis scored the EDS Proposal on question 8 with a 10, even though the CRIS-E System's stage of development clearly precluded a perfect score. Although she referred to the "history of the transfer components" and the "implementation ... schedules," Ms. Gettis ignored the critical deficiency, as to scoring this question, that CRIS-E had not yet been implemented. Ms. Gettis cited as "excellent" the "distributed processing procedure," but ignored the fact that CRIS-E is an example of centralized architecture. Scoring the Unisys Proposal an 8 on question 8, Ms. Gettis incorporated comments in response to other questions into her response to this question and added only a comment about the capacity structure. Although the comment about capacity was pertinent, the absence of any reference whatsoever to the relatively advanced stage of development of the Unisys transfer systems betrayed a serious misunderstanding of the information being elicited by the question.

138. In giving the EDS Proposal an 8 and the Unisys Proposal a 7 on question 8, David Popovich noted that the CRIS-E System was centralized and had not yet been implemented, but did not expressly note that the Unisys systems were distributed and implemented. Little basis for the difference in scores emerges from Mr. Popovich's comments. Basically, the same is true with respect to Martha Crabb, who rated EDS over Unisys by a score of 9 to 7, and Rodney McGinnis, who rated EDS over Unisys by a score of 8 to 7.

139. Questions 19 and 24 in the area of FLORIDA System Description and Capabilities ask how adequately the proposal indicates that "proven components" would be used as the bases for the client registration and public assistance modules, respectively. The three considerations for each of these questions were the bidder's previous involvement with the component to be transferred, whether the system was certified, and when it was implemented.

140. EDS received a total score of 49 on question 19 and Unisys received a total score of 41. EDS received a total score of 49 on question 24 and Unisys received a total score of 40.

141. EDS could earn points on each of these questions due to its considerable previous involvement with the CRIS-E system through the subcontractor, Touche-Ross, which was responsible for the development of the system. However, the Unisys public assistance and client registration modules were clearly proven to a greater extent than the CRIS-E System, which provides the client registration and public assistance modules for EDS. Not having completed acceptance testing, the CRIS-E System was unproven to the extent that it had never issued a benefit check to a real client in a real-world environment.

142. In scoring the EDS Proposal with a 9 on question 19, Ms. Gettis commented that the CSE module had already been transferred to other entities. However, the subject question did not involve the CSE module, which was addressed by an otherwise identical question at question 29. Focusing on smaller portions of the client registrations system that were to be the subject of conceptual transfers, Ms. Gettis imposed far stricter standards against Unisys as she gave it only a six. As to question 24, Ms. Gettis rated EDS a 9 and Unisys an 8. In this case, she found fault with the Unisys integration of the CSE module, which was the subject of question 29, not question 24. In sum, she simply missed the point of questions 19 and 24, which were to assess the degree to which the client registration and public assistance components were proven.

143. Mr. Kuecks rated EDS over Unisys as to question 19 by a score of 9 to 7. In so doing, he stated as to EDS that "all proven components will be used" when, in fact, the CRIS-E System was still in acceptance testing and had never been proven by actual use in the field. His scores and comments were identical for question 24.

144. Similar discrepancies exist with respect to three other evaluators. Mr. McGinnis scored EDS over Unisys 8 to 7 as to question 19 and 8 to 6 as to question 24. Ms. Crabb scored EDS over Unisys by identical scores in both cases. Her concerns over the extent to which the Unisys public assistance system would require modifications missed the point of this question, which was directed strictly to the portion of the system being supplied by transfer. Mr. Popovich scored EDS over Unisys by identical scores of eight to seven.

145. The relatively high scores given EDS and low scores given Unisys in response to questions concerning capacity planning and rationale were justified in view of the elaborate computer modeling conducted by EDS and IBM in simulating the performance of the system proposed by EDS. Moreover, the assumptions that went into the modeling, which are critical to the success of the simulation, were reasonable. Also, the motivation to develop accurate assumptions is strong due to the severe provisions for damages in the fixed-price contract.

146. The capacity planning of EDS is superior to that of Unisys because of the latter's reliance upon extrapolations from existing case loads versus the former's use of sophisticated computer simulation models. Also, there is no credible evidence that the EDS system would fail to satisfy any applicable response times set forth in the RFP.

147. The failure to deduct points for the failure of EDS to include certain resumes in its proposal is inconsequential.

148. Mr. Johnson was one of three evaluators for the area of Operations Management Approach. In question 3, he awarded EDS 10 points and Unisys only 6 points. Based on the information contained in the proposals, there is no basis to differentiate between the respective proposals when scoring question 3.

149. Mr. Johnson's final scores as to questions 8, 10, and 11 in the area of Operations Management Approach were not irregular. The scores were, respectively, 7, 7, and 6. The other evaluators in this area were Ms. Van Dusseldorp and Mr. McGinnis whose respective scores were 7, 6, and 7 and all 7's. Each of the other evaluators provided detailed notes for these scores, and the explanations were reasonable.

150. Mr. Johnson's final scoring of question 2 for Unisys in Data Processing Considerations appears erroneous. He gave Unisys a low score in large part due to his doubt as to whether the central processing unit Model 2200-633 was in existence. Offerors were required to propose their latest lines of equipment. There was ample evidence that the Model 2200-633 satisfied this requirement and was in existence.

151. Scoring inconsistencies are noted in Paragraphs 122-130 above as to 3 evaluators, Paragraphs 132-144 as to questions 8, 19, and 24 in the area of the FLORIDA System Description and Capabilities, and Paragraphs 148 and 150. These inconsistencies are immaterial in light of the complexity and magnitude of the FLORIDA System, RFP, and evaluation process.

152. The most significant inconsistencies occurred in the area of the FLORIDA System Description and Capabilities. These inconsistencies, however, were isolated.

153. Moreover, one of the primary purposes of the area of FLORIDA System Description and Capabilities was to provide evaluators with an opportunity to assess the extent to which the proposed system satisfied the detailed functional requirements set forth in the RFP. In general, the lower scores of Unisys in this area, as compared to those of EDS, are due to the fact that the system proposed by Unisys does not meet the functional requirements set forth in the RFP to the same extent as the system proposed by EDS.

154. Myles Tillotson was the marketing manager for Unisys who played a key role in identifying for senior management potential candidates for transfer. He testified that, but for the perceived restrictions of the "operational" and "completed testing" sentences, Unisys would have seriously considered proposing for transfer other systems. These systems would have made the Unisys Proposal more "acceptable" from a "marketing point of view" and would have reduced the amount of functionality that Unisys had to achieve through modification or enhancement. TR 269. One of the systems that Mr. Tillotson identified as offering a superior match in functionalities was in fact the CRIS-E System. TR 274.

155. Mr. Johnson's scoring of question 3 in the area of Operations Management Approach was inconsistent, but ultimately immaterial even though it occurred in the single area in which Unisys failed to pass the 70 percent threshold. Contrary to the assertions of Unisys, Mr. Johnson's scores did not play a significant role in the failure of Unisys to satisfy the 70 percent

threshold in this area. Even without Mr. Johnson's scores, Unisys would have had 244.2 weighted points, which is 0.8 points less than 70 percent of 350 points.

156. The effect of the above-noted inconsistencies and irregularities with respect to certain evaluators and certain questions by one or more evaluators is insignificant in the final analysis. The best proposal was awarded the most points. With one exception, the total final score of each evaluator in each area was higher for EDS than Unisys. (Barry Pollner scored 142 points for each of the proposals in the area of Telecommunications Network Considerations.) In only one case did any evaluator rate the EDS Proposal below a seven on any given question. (Sandra Stovall gave EDS a 6 on question 24 in the area of Corporate Background and Experience.) The inconsistencies and irregularities must be placed in the proper context, which is that the EDS Proposal was consistently scored higher than the Unisys Proposal by all evaluators in all areas.

F. Statistical Analysis of Evaluations

157. Various experts analyzed the scores of the evaluators in order to determine the reliability and validity of the evaluation process. The experts, whose expertise was in the area of statistics or operations research, tested the scores to determine, among other things, the extent to which there was agreement among the scores of the evaluators. The experts also considered the degree to which the tests used by the Unisys experts were applicable to the subject evaluation process.

158. In general, the statistical tests evaluate the reliability and validity of the data being tested, as well as any bias of the evaluators. These terms have specialized meanings in the field of statistics. In this case, the evaluation process is statistically reliable to the extent that different evaluators award the same scores to a proposal in a given area. Statistical bias represents the degree to which an evaluator consistently deviates from the norm in his or her scores. The evaluation process is statistically valid to the extent that it accurately measures what it is purporting to measure. In the field of statistics, reliability and freedom from bias are preconditions to validity.

159. In general, the tests, which involved analyses of variance among the evaluation data (i.e., the scores of the different evaluators), suggested that the absence in reliability among the evaluation data was statistically significant.

160. The average scores analyzed are set forth below,

Each of the 16 evaluators is assigned a number, and these numbers are displayed on the top row. Each of the eight areas is assigned a number, and these numbers are displayed on the left-hand column. The evaluators corresponding to each number are as follows: 1--Ms. Stovall; 2--Gary Crayton; 3--Bill Hudgens; 4--Gary Mahoney; 5--Andy Tillman; 6--Ms. Gettis; 7--Mr. Popovich; 8--Mr. Kuecks; 9--Mr. Pollner; 10--Marilyn Van Dusseldorp; 11--Pam Witzleben; 12--Ms. Crabb; 13--Mr. McGinnis; 14--Karen Girard; 15--Mr. Johnson; and 16--Danny Jordan. The areas corresponding to each number are as follows: 1--Corporate Background and Experience; 2--Project Staffing; 3--Project Management and Work Plan; 4--Technical Approach; 5-- FLORIDA System Description and Capabilities; 6-- Telecommunications Network Considerations; 7--Data Processing Considerations; and 8--Operations Management Approach.

UNISYS

	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1)	7.0	7.5	8.5													
2)			7.1	7.0	7.5											
3)			7.0	7.0		7.3	7.2									
4)					7.2			7.5	7.5	6.8						
5)					6.9	7.2	7.3			6.9	6.9	7.0				
6)							7.9							7.8	7.9	
7)						7.8	7.5	7.8							8.1	
8)								6.9				7.0			6.7	

EDS

	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1)	7.3	7.9	8.9													
2)				7.6	8.0	8.9										
3)				7.1	7.2		8.1	8.5								
4)						9.5		8.2	8.8	8.6						
5)						9.2	7.8	9.2			8.7	7.4	7.8			
6)							7.9							9.2	8.9	
7)								8.7	7.7	8.1					9.7	
8)									7.9			7.4		10.0		

CSX

	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1)	6.9	7.2	7.6													
2)				7.0	7.2	7.4										
3)				7.0	6.4		7.4	6.4								
4)						7.1		7.3	7.0	6.5						
5)						6.8	7.3	6.9		7.3	6.9	7.3				
6)									7.6					7.8	7.9	
7)								7.0	7.3	6.8					8.5	
8)										7.1	7.1			7.4		

161. The above data reflect sufficient agreement among the evaluators to prove that the unreliability of the evaluation data, while of statistical significance, is of no practical significance. At least two assumptions are critical to the statistical evaluation of these data. First, the test evaluating the data must be a suitable measurement device. Second, the standard by which the reliability is determined must be a suitable standard.

162. The Intraclass Correlation Coefficient, which is one of the reliability coefficients that Unisys uses in discrediting the statistical reliability of the scores, establishes three standards by which data is evaluated. In most cases, a value of 0.4 must be attained for the data to be considered reliable. The most severe standard is 0.8 and the most lenient standard is 0.25. Values below 0.25 are viewed as indistinguishable from randomly generated data. (Actually, as the values drop to -0.25 and below, the values suggest that the data are no longer random, but are in marked disagreement.)

163. As applied in this case, the Intraclass Correlation Coefficients suggest that the following areas of the evaluators' average scores for Unisys

cannot be differentiated from randomly generated data: Project Management and Work Plan where the scores are 7.0, 7.0, 7.3, and 7.2; Technical Approach where the scores are 7.2, 7.5, 7.5, and 6.8; FLORIDA System Description and Capabilities where the scores are 6.9, 7.2, 7.3, 6.9, 6.9, and 7.0; and Data Processing Considerations where the scores are 7.8, 7.5, 7.8, and 8.1.

164. Although the reliability coefficients measured the individual scores, by question, of each evaluator, the significance of the results may be considered against the average scores, by area, of each evaluator because, in part, the individual scores, in themselves, have a less significant role in the evaluation process than the average scores. The conclusion that emerges is that what may be of statistical significance is not, in this case, of practical significance. Simply stated, the test or the standards, or both, are unsuitable because they result in the rejection as statistically unreliable groups of average scores whose diversity does not appear highly remarkable, especially in a procurement of this complexity and magnitude.

165. The statistical tests identify certain anomalies in the scoring of the evaluators, sometimes as to one proposal and sometimes as to all three proposals. Notwithstanding this fact, the final scores reflected a rational evaluation process. As note below in Part G, the evaluators almost invariably found that the EDS Proposal was superior to the Unisys Proposal and the margin was substantial.

166. HRS made a valid policy decision to emphasize the independence of the evaluators in the scoring process. The independence accorded the evaluators, coupled with the magnitude and complexity of the subject procurement process, invited a relatively wide range of scores.

167. In addition, the numerous questions contained in the Evaluation Manual, which only rarely permitted a yes or no answer, permitted a certain subjectivity on the part of the evaluators. The subjectivity inherent in the process contributed to the unsuitability of the statistical tests used by Unisys to discredit the statistical reliability and validity of the evaluation process.

G. Conclusions as to Scoring Process

171. The objective of the RFP, as distinguished from the more rigid invitation to bid, is to solicit creative responses to satisfy, in this case, the detailed and demanding functional and technical requirements set forth by HRS in the RFP. HRS seeks a highly advanced automated information management system, featuring shared data bases in support of several human-services programs with very different eligibility requirements. Not surprisingly, the proposals offer varied and complex solutions to the specifications and problems set forth in the RFP. In each case, the proposed solution describes the design, development, transfer, and implementation of a system that in many respects is unprecedented in terms of, among other things, architecture, processing characteristics, caseload demands, and functionality.

172. With due regard to the complexity and magnitude of the RFP and the proposals, the above-noted inconsistencies and irregularities in the evaluation process do not render the entire process arbitrary, capricious, fraudulent, or dishonest, nor do they prove that the purpose of the competitive bidding process has been subverted.

CONCLUSIONS OF LAW

I. Jurisdiction

173. The Division of Administrative Hearings has jurisdiction over the subject matter and the parties. Section 120.53(5), Florida Statutes.

II. Standing

174. Section 120.53(5)(b), Florida Statutes, accords standing to "[a]ny person who is adversely affected by the agency decision of intended decision" Unisys is adversely affected by the decision of HRS to award the contract to EDS.

III. Illegality

175. In *Department of Transportation v. Groves-Watkins Constructors*, 530 So.2d 912, 913 (Fla. 1988), the Supreme Court stated that a finding of "illegality" constitutes grounds upon which an agency's honest exercise of discretion in the area of procurements may be overturned.

176. By law, an agency may waive any "minor irregularities" in a proposal. In the context of a request for proposal, a minor irregularity is a variation from the provisions of the request for proposals that does not affect the price of the proposal, give the offeror an advantage or benefit not enjoyed by the other offeror, or adversely impact the interests of the agency. "Variations which are not minor cannot be waived." Rule 13A-1.002(10), Florida Administrative Code.

177. If an agency were to waive a material variance, which is a deviation other than a minor irregularity, the waiver would constitute an illegality within the meaning of *Groves-Watkins*.

178. In the present case, however, Unisys has failed to prove that the EDS Proposal contains any deviations from the requirements of the RFP. The systems proposed for transfer, the residence of the key personnel, the system demonstration, and the proposed hardware/software configuration meet the requirements of the RFP.

IV. Arbitrary, Capricious, Fraudulent, or Dishonest

179. In *Groves-Watkins*, the Supreme Court also stated that a finding of arbitrary, dishonest, or fraudulent action by an agency constitutes grounds upon which an agency's exercise of discretion may be overturned. When inquiring into agency action in a protest challenging a decision to award or reject all bids, the proper scope of the inquiry is "limited to whether the purpose of competitive bidding has been subverted." 530 So.2d at 914. The Court held that applicable standards were not violated when the agency committed an honest mistake in preparing a prebid estimate that was too low and in its refusing to accept the low bid or the Hearing Officer's reconstructed estimate.

180. In *Liberty County v. Baxter's Asphalt & Concrete1 Inc.*, 421 So.2d 505 (Fla. 1982), which was cited with approval in the *Groves-Watkins* opinion, the Supreme Court held that an agency could award a contract to a bidder whose bid incorrectly omitted a bid for an alternate set of specifications. Finding that the deviation was only a minor irregularity, the Court stated that in Florida "a public body has wide discretion in soliciting and selecting bids . . . and its

decision, when based on an honest exercise of this discretion, will not be overturned by a court even if it may appear erroneous and even if reasonable persons may disagree." Id. at 507.

181. The subject evaluation process contained inconsistencies and irregularities. In a few isolated cases, the scores were erroneous. On many other occasions, reasonable persons could differ as to the proper score that should have been awarded on a specific question. However, the inconsistencies and irregularities in the scoring process were not so extensive as to subvert the purpose of competitive bidding or justify a finding that the evaluation process was arbitrary, capricious, fraudulent, or dishonest.

RECOMMENDATION

Based on the foregoing, it is hereby

RECOMMENDED that a Final Order be entered dismissing the subject bid protest of Unisys Corporation.

ENTERED this 14th day of March, 1989, in Tallahassee, Florida.

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Hearing Officer
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APPENDIX TO THE RECOMMENDED ORDER IN CASE NO. 89-0003BID

Treatment Accorded Petitioner's Proposed Findings

- 1-26. Adopted.
27. Rejected as recitation of evidence,
28. Rejected as subordinate.
29. Rejected as recitation of evidence and subordinate.
30. Adopted in substance.
- 31 and 33. Adopted.
32. Rejected as irrelevant.
34. Rejected as recitation of evidence.
35. Rejected as recitation of evidence. As to the first sentence, to the extent that the finding implies that "development stage" means that the system has not completed testing, the first sentence is rejected as against the greater weight of the evidence.
- 36-37. Rejected as irrelevant.
- 38-39. Rejected as against the greater weight of the evidence.
40. First sentence rejected as against the greater weight of the evidence.
- Remainder rejected as irrelevant.
- 41-43. Rejected as recitation of testimony.
44. Rejected as irrelevant insofar as the "completed testing" sentence is not a requirement to the RFP. If the "completed testing" sentence were a

requirement, Ms. Morris' testimony would be rejected to the extent that it varied from the finding that the level of required testing necessary to be completed must correspond to what is being transferred. For example, if a unit, string, or system were being transferred, unit testing string testing, or system testing, respectively, must be completed to satisfy the "completed testing" requirement, if it were a requirement. Ms. Morris' testimony to the contrary is against the greater weight of the evidence.

45. Rejected as recitation of testimony, except that last sentence is rejected as against the greater weight of the evidence.

46. Rejected as irrelevant.

47. Adopted.

48. Rejected as against the greater weight of the evidence. The "completed testing" sentence does not impose a requirement. The "current status" language, which, as Unisys points out, pertains to the time of the submittal of the proposal, reinforces the proposition that the RFP did not require that a system proposed for transfer attain any specific level of development. Obviously, the risk to the vendor in proposing a relatively undeveloped system is that the system either could not be demonstrated or the system demonstration would be unsatisfactory. In either case, the system would lose points in the three areas, identified at RFP 11-25, most affected by the system demonstration: FLORIDA System Description and Capabilities, Data Processing Considerations, and Operations Management Approach.

49. Rejected as against the greater weight of the evidence, except that the last two sentences are rejected as recitation of testimony. The preoccupation of Ms. Marr and Ms. Morris with the phrasing of a nonbinding summary section is ultimately irrelevant to interpreting the clear provisions of the RFP. Their preoccupation with the nonbinding summary section is in any event equally consistent with an unusual concern with precatory language or a misapprehension of the effect of the summary section.

50. Rejected as irrelevant. The interpretation of the "completed testing" and "operational" sentences is based ultimately on the RFP itself and not on after-the-fact "explanations" offered by HRS employees or attorneys.

51. First sentence rejected as irrelevant. Second sentence adopted in substance.

52. First sentence rejected as against the greater weight of the evidence due to the use of the word, "reasonable." Remainder adopted.

53. Adopted in substance insofar as Unisys would have probably considered the Pennsylvania system but for its erroneous interpretation of the "operational" and "completed testing" language. Rejected as against the greater weight of the evidence to the extent that this proposed finding suggests that Unisys probably would have selected this system.

54-55. Adopted.

56. Rejected as irrelevant and against the greater weight of the evidence.

57. Adopted, except that the last sentence is rejected as irrelevant.

58. First sentence adopted. Second sentence rejected as irrelevant.

59. First sentence adopted. Remainder rejected as against the greater weight of the evidence.

60-61. Rejected as irrelevant.

62. Rejected as not finding of fact.

63. Adopted.

64. First sentence rejected as recitation of testimony. Second and third sentences adopted. Last sentence rejected as against the greater weight of the evidence.

65. Rejected as recitation of testimony.

66. Rejected as irrelevant.

67. Rejected as contrary to the evidence. Each evaluator read the RFP, which disclosed the dual 70 percent/75 percent thresholds.

68. Rejected as irrelevant.

69. Adopted.

70. Rejected as irrelevant and against the greater weight of the evidence.

71. Rejected as subordinate, except that third sentence is rejected as against the greater weight of the evidence to the extent that this sentence implies that the use of factors for consideration rendered the scoring process impermissibly subjective.

72. Rejected for reasons set forth above, except that the first sentence is adopted in substance.

73. Rejected as against the greater weight of the evidence. As to FLORIDA System Description and Capabilities, Ms. Gettis properly mentioned capacity planning in response to question 8 and, to a lesser extent, question 33. Regarding questions 3 and 33, to the extent that the reference to capacity planning was inappropriate, her mention of capacity planning was not a significant factor in her score. Her reference to equipment delivery dates with respect to question four in the same area was appropriate.

74. Rejected to extent that the proposed finding implies that the overlapping of factors resulted in an improper lowering of the Unisys score. In some cases, the RFP established the propriety of the overlapping. In other cases, the overlapping was insignificant in light of other factors cited by the evaluator.

75. Second sentence adopted. Remainder rejected as recitation of testimony.

76. Adopted as to the fact that the debriefing process influenced other evaluators, but rejected as to the implication that the influence was improper.

77-78. Adopted in substance.

79. Rejected as recitation of testimony. Although the question is a close one as to Ms. Gettis and Mr. Johnson, the record ultimately does not support a finding of nonstatistical bias as to any single evaluator. In the case of Ms. Gettis, who is the subject of the proposed finding, the observations of the independent observers are not sufficiently borne out by the anomalies in the scoring of Ms. Gettis. In any event, Unisys failed to prove that such irregularities rendered the scoring process arbitrary, capricious, fraudulent, or dishonest.

80. Rejected as argument.

81. Rejected to the extent that the finding implies that the greater increase in EDS' scores was due to any improper influence by Ms. Gettis.

82. First sentence adopted. Second sentence rejected. There was no area of Capacity Planning and Rationale.

83. Adopted in substance, noting the post-filing correction of Unisys converting the reference from Capacity Planning and Rationale to Operations Management Approach.

84. Adopted, assuming that the reference to "this category" in second line is intended to be to Operations Management Approach. 85. First sentence rejected as unnecessary. Second sentence rejected as against the greater weight of the evidence, which does not support the testimony of Mr. Kastner that the EDS system would not satisfy the specified response times.

86 -87. Rejected as recitation of testimony.

88. Rejected as irrelevant.

89. Rejected as against the greater weight of the evidence. The eight accorded to Mr. Kastner's testimony was limited by his incomplete understanding of the complex IBM modeling programs and the distribution of certain processing functions in the system proposed by EDS.

90. Assuming that the reference to "the area of capacity planning and rationale" is intended to mean questions concerning capacity planning and

rationale, this proposed finding is rejected as unsupported by the evidence. It is true that the data generated by the IBM modeling programs are no better than the assumptions that went into the models. It is also true that the HRS evaluators' understanding of the models, assumptions, and even the resulting data was incomplete. However, as noted in the recommended order, the capacity-planning assumptions are reasonable. The contract in this case is for a fixed price and contains substantial monetary penalties for nonperformance. Under these circumstances, the incompleteness of the evaluators' understanding of the model, assumptions, and data did not render their scoring arbitrary or capricious. This is a highly technical area whose complexities confused even Unisys' expert witness. The scoring was rational. The informed use of modeling by IBM, in connection with capacity planning for the EDS system, provided a reasonable basis for the scores awarded to EDS on the capacity-planning questions. The superiority of the EDS scores as compared to the Unisys scores is also rational because of Unisys' reliance, in capacity planning, upon methods of extrapolation that did not appear as sophisticated as the computer modeling conducted by EDS.

91-92. Rejected as against the greater weight of the evidence.

93-94. Rejected as irrelevant.

95. All but last two sentences adopted. Last two sentences rejected as unsupported by the evidence. Eliminating Mr. Johnson's scores for Unisys in the area of Operations Management Approach leaves Unisys with a weighted score of 245 from Mr. McGinnis and 243.4 from Ms. Van Dusseldorp. The resulting average of 244.2 is 0.8 points less than the 70 percent threshold in this area, which is 245 points out of 350 possible points.

96. Rejected, as to the implications of impropriety, as against the greater weight of the evidence. Although Mr. Johnson scored questions 8, 10, and 11 with a 7, 7, and 6, respectively, and offered no explanation of why he scored these questions below 10, his scores were very similar to those of Mr. McGinnis and Ms. Van Dusseldorp, whose respective scores on the same questions were 7, 7, and 7 and 7, 6, and 7. Both of these evaluators offered extensive and reasonable explanations for their scores.

97. Rejected as irrelevant and, as to the implications of impropriety, against the greater weight of the evidence. Mr. Johnson's reservations concerning the existence of the Model 2200-633, which affected his scoring of a question in Data Processing Considerations, not Operations Management Approach, were unjustified. However, when judged from the broader perspectives of his scoring of the Unisys Proposal and the entire scoring process, this scoring anomaly does not serve as evidence of arbitrary, capricious, fraudulent, or dishonest action on the part of Mr. Johnson or HRS.

98-101 (first sentence). Adopted in substance.

101. (remainder) and 102. Rejected as irrelevant. Although the degree of match in functionality is not necessarily indicative of the amount of programming necessary to achieve the program modifications, there is no evidence in this case whether the amount of programming will be disproportionate to the degree to which functionalities have been matched. It is therefore not inherently irrational for evaluators to cite the degree of match as a favorable factor even though, strictly speaking, it is inaccurate to interpret the 65 percent and 91 percent figures as the amount of code that could be automatically transferred with no modifications and with only minor modifications, respectively.

103-104. Adopted in substance.

105-112. Adopted. As to proposed finding 106, reliability is a prerequisite for validity in the field of statistics. The same qualification is necessary for proposed finding 109. As to the proposed findings and findings in the recommended order concerning the Intraclass Correlation Coefficient, the same rulings and findings generally apply to the Spearman-Brown statistics and

results from the other tests, although no specific reference is made to the latter test in the findings in the recommended order or in the rulings on the proposed findings. 113. Rejected as irrelevant due to the unsuitability of the tests and/or their standards with respect to the evaluation of the scoring process under existing law.

114. Adopted as the findings of Dr. Zahn.

115. First sentence adopted in substance.

115(second sentence) -118. Rejected as irrelevant due to the unsuitability of the tests and/or their standards.

119-122, 124-126, and 128. Rejected as against the greater weight of the evidence.

123 and 127. Rejected as irrelevant.

Treatment Accorded the Proposed Findings of HRS

1 and 7-10. Adopted.

2-4. Rejected as irrelevant.

5-6 and 11-14. Adopted in substance.

15. Rejected as irrelevant.

16 and 19. Adopted.

17-18 and 20-22. Adopted in substance.

23. Rejected as irrelevant.

24-25. Adopted in substance.

26-28. Adopted.

29. Rejected as irrelevant.

30. Rejected as argument.

31. Rejected as against the greater weight of the evidence.

32-33 and 35. Rejected as irrelevant.

34. Adopted in substance.

36-37. Adopted.

38. Adopted in substance.

39 and 43. Rejected as irrelevant.

40-42 and 44-47. Adopted.

48 and 50. Adopted in substance.

49. First sentence rejected as unsupported by the evidence.

Second sentence adopted.

51-52 and 56. Adopted.

53-55. Rejected as irrelevant.

57-60. Adopted in substance.

61 and 63-66. Rejected as irrelevant.

62. Adopted.

67-68 and 71. Adopted in substance. As noted above, the findings in the recommended order and rulings on the proposed findings focus upon the Intraclass Correlation Coefficient, but apply generally to the other tests.

69 and 72-73. Rejected as subordinate.

70. Adopted in substance.

74-75. Adopted.

76-84 and 86-87. Adopted in substance. As to proposed finding

79, EDS Exhibit 2 was not admitted into evidence and therefore cannot provide a basis for a finding of fact.

85 and 89-92. Rejected as irrelevant.

88. First sentence rejected as irrelevant. Second sentence adopted in substance.

93 and 95-98. Adopted in substance.

94, 99, and 101-102. Rejected as subordinate.

100 and 104. Adopted in substance.

103. Rejected as unsupported by the evidence.

105-106 and 109-110. Rejected as irrelevant.

107. Rejected as irrelevant and recitation of testimony.

108. Rejected as recitation of testimony.

111. Adopted.

112 and 114. Rejected as not finding of fact.

113. Adopted in substance as to absence of bias. Rejected as against the greater weight of the evidence to the extent of the implication that, in all cases, all evaluations were reasoned. The cases to the contrary are set forth in the recommended order.

115 and 117. Rejected as irrelevant.

116. Rejected insofar as the proposed finding ignores the findings concerning Ms. Gettis' scoring in the recommended order.

119. Rejected as unsupported by the evidence. The proposed finding offers three numbers corresponding to the margins between the final scores of three evaluators for EDS and Unisys. These margins are 1.4, 2, and 2.5 and implicitly correspond to the order in which the evaluators are named in proposed findings 111 and 122. This implied order is inaccurate. The margin between Mr. Johnson's final scores for EDS and Unisys was 2.5. The margin between Ms. Gettis' final scores for EDS and Unisys was 2. The margin between Mr. Kueck's final scores for EDS and Unisys was 1.4.

To the extent that this proposed finding suggests that these margins are totally irrelevant, the finding is rejected. As noted in the recommended order, the anomaly in Mr. Kueck's scoring is insignificant. Using the approach of comparing margins, his margin of 1.4 is less than the margin of 1.8 with respect to two single-area evaluators. The more significant margins for Ms. Gettis and Mr. Johnson have been dealt with in the recommended order and found not to have rendered the scoring process legally objectionable.

120. Adopted in substance.

121. See 119 above.

122 and 123. Adopted.

124. Rejected as subordinate.

125. Adopted in substance.

126-128. Rejected as irrelevant.

129. Adopted.

130-133 and 135. Adopted in substance.

134 and 136. Adopted.

137-141. Adopted in substance.

142-146. Rejected as recitation of testimony.

146. First sentence adopted. Second sentence rejected as unsupported by the evidence. The deletion of the word "pilot" without the insertion of another modifying word or other language explaining more clearly what degree of testing was meant by the phrase "completed testing" did not facilitate anyone's understanding of the meaning of the "completed testing" sentence. 147 and 149-150. Adopted in substance.

148. Adopted.

151 and 154-155. Rejected as irrelevant.

152. Adopted in substance.

153 and 156. Adopted.

157. Rejected as irrelevant.

158. Rejected as against the greater weight of the evidence.

159. First sentence adopted in substance. Second sentence is rejected as against the greater weight of the evidence to the extent that it implies that Unisys believed that the proposed system enjoyed sufficient advantages over the Pennsylvania system that the former was better than the latter for the FLORIDA procurement.

160. Adopted in substance.

161-162. Rejected as subordinate.

163. Rejected as argument.
164-166. Rejected as recitation of testimony.
167. Rejected as irrelevant.
168-169. Adopted in substance.
170. Rejected as argument.
171-173. Rejected as irrelevant.
174. Adopted.
175. Rejected as subordinate.
176. Adopted in substance.
177-178. Rejected as recitation of testimony.
179. Rejected as argument.
180. Rejected as subordinate.
181. Rejected as irrelevant.
182. Adopted in substance.
183 and 185. Adopted.
184 and 186-189. Rejected as irrelevant.
190-194 and 196-197. Adopted.
195. Rejected as irrelevant.
198-199 and 202. Adopted in substance.
200-201. Rejected as subordinate.
203-204. Adopted.
205. Rejected as irrelevant.

Treatment Accorded Proposed Findings of EDS

1-6. Rejected as irrelevant.
7. Rejected as not finding of fact.
8 and 10. Adopted.
11-14 and 17. Rejected as recitation of testimony.
9, 16, and 18-19. Adopted in substance.
15. Rejected as against the greater weight of the evidence.
23-24. Rejected as irrelevant.
20-21. Adopted.
22. Adopted in substance.
23-24. Rejected as irrelevant.
25-27. Rejected as against the greater weight of the evidence.
28 and 31. Adopted.
29 and 34. Adopted in substance.
30 and 32. Rejected as irrelevant.
33. Rejected as argument.
35-37. Rejected as irrelevant.
38-40. Adopted.
41-42. Adopted in substance.
43. Adopted.
44. Rejected as argument.
45. Adopted in substance.
46. First two sentences rejected as irrelevant. Last sentence adopted in substance.
47 and 49. Rejected as irrelevant.
48 and 50-54 and 56-57. Rejected as irrelevant.
55. Rejected as irrelevant.
58-61. Rejected as argument.
62-63. Rejected as subordinate.
64. Rejected as recitation of testimony.
65. Adopted in substance.
66. Adopted.
67 and 69-71. Rejected as irrelevant.

68. Rejected as argument.
72-74. Adopted in substance.
75. Adopted.
76. Rejected as subordinate.
77-81 and 83-92. Adopted in substance.
82 and 93. Rejected as subordinate.
94. Adopted.
95-97 and 99-100. Rejected as irrelevant.
98. Rejected as against the greater weight of the evidence.
101-103 and 105. Adopted in substance.
104 and 106-107. Adopted.
108. Adopted in substance.
109-110. Adopted.
111-113 and 115-116. Rejected as irrelevant.
114. Rejected as against the greater weight of the evidence.
115-116 and 119-122. Rejected as irrelevant.
117. Adopted.
118. Adopted in substance.